



THE CHARTERED INSURANCE INSTITUTE

ADVANCED DIPLOMA

APRIL 2004 EXAMINATION PAPER

**UNIT 556
LIFE AND DISABILITY CLAIMS**

Three hours are allowed for this paper, which is in three parts.

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

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556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS

Three hours are allowed for this paper.

You should answer **all** questions in Part I, the compulsory question in Part II and **three** out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	48 marks
Part II	50 marks
Part III	102 marks

You are advised to spend no more than 45 minutes on Part I. You are strongly advised to attempt **ALL** the required questions in order to gain maximum possible marks.

In attempting the questions, you may find it helpful in some places to make rough notes in the answer booklet. If you do this, you must cross through these notes before you hand in the booklet.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification **ANYWHERE** on this question paper.
- The answer booklet and this question paper **MUST BE HANDED IN PERSONALLY BY YOU** to the invigilator before you leave the examination. **FAILURE TO COMPLY WITH THIS REGULATION MAY RESULT IN YOUR PAPER NOT BEING MARKED AND YOU MAY BE PREVENTED FROM ENTERING THIS EXAMINATION IN FUTURE.**

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PART I

**Answer ALL questions in Part I.
Each question is worth six marks.**

Note form is acceptable where this conveys all the necessary information.

1. When considering the medical aspects of an income protection claim, briefly distinguish between the information provided in:
 - (a) a report from the claimant's GP (GPR); (3 marks)
 - (b) full GP notes. (3 marks)

2.
 - (a) What is angioplasty? (4 marks)
 - (b) Why is it performed? (2 marks)

3.
 - (a) What is alternative dispute resolution? (2 marks)
 - (b) What advantages does it have over litigation? (4 marks)

4. What impact does a change in interest rates have on the disabled life reserve?

5. Why do insurers ask about alcohol consumption on life and disability proposal forms?

6. In what circumstances does the ABI Statement of Long Term Practice allow an insurer to reject a claim for non-disclosure or misrepresentation?

7. What is an SC60? When should a claims assessor ask a claimant to provide one?
8. Outline how and why the ABI critical illness definition of cancer was changed in 2002.

FOR USE WITH QUESTION 9 ONLY

GENERAL PRACTITIONER'S REPORT

Patient's Name:	Roger Maynard	Date of Birth:	6 March 1953
1.	<i>When did your patient first register with the practice?</i>		
	1978.		
2.	<i>From what date do their records commence?</i>		
	Birth.		
3.	<i>When was the patient first seen by you in relation to the condition claimed for?</i>		
	30 January 2004.		
4.	<i>Please provide full details of your patient's descriptions of his/her symptoms including when they first started, their frequency, severity and duration.</i>		
	Chest pain, radiating down arm. Acute onset during previous night. Told to attend A&E.		
5.	<i>Please confirm the diagnosis.</i>		
	Heart attack.		
6.	<i>Has your patient previously consulted you or any other doctor for treatment or advice for this or any related condition? If so, please provide full details especially dates, treatment and any time off work.</i>		
	No.		
7.	<i>Please provide details of any treatment given.</i>		
	See below.		
8.	<i>If medication has been prescribed please state the dosage and whether any changes have been made.</i>		
	Aspirin, atenolol, GTN.		
9.	<i>Please provide full details of any person whom your patient has seen or is being referred to.</i>		
	Mr Smith – Cardiologist – North London General Hospital.		
10.	<i>Please provide details of your patient's smoking habits.</i>		
11.	<i>Does the patient have an adverse family history in respect of the condition claimed for?</i>		
	Not known.		

FOR USE WITH QUESTION 9 ONLY

NORTH LONDON GENERAL HOSPITAL

Cardiology Department

18 March 2004

The Claims Manager
ABC Life Assurance Company
ABC House
15 The High Road
Birmingham
BB1 2GT

Dear Sir or Madam

Re: **Roger Maynard – DoB: 6 March 1953**
2 Primrose Avenue, Southgate

Thank you for your letter of 1 March 2004 requesting a report on this patient; I note he has provided his specific consent to enable me to provide these details.

This gentleman sustained a non ST elevated MI (non STEMI) in January this year, presenting at A&E complaining of chest pain commencing in the early morning, which had radiated down his arm. Exercise treadmill stress testing was carried out during which time he managed to perform reasonable workload with no ST-T wave changes or symptoms. We went forward to coronary angiography to exclude significant coronary disease. Prior to admission he was completely asymptomatic, fully active and well.

At angiography – normal right and left coronary arteries with a dominant right coronary artery. Left ventricular function (LVF) normal.

Although Mr Maynard appears to have sustained a non STEMI, he has normal coronary arteries, with no evidence of any obstruction or irregularity. He has been reassured and advised to give up smoking, lose weight and modify his diet to reduce his cholesterol. He reported a positive family history for IHD.

He has been discharged back to his GP with no further follow up from this department.

Yours faithfully

Mr A Smith
Cardiology Department

PART II

Compulsory question.

This question is worth 50 marks.

9. Mr Maynard proposed to your life office in December 2003 for £75,000 stand alone critical illness. The policy commenced on 5 January 2004.

- The proposal form had no adverse disclosures and the policy was issued at ordinary rates.
- No additional medical evidence was obtained at proposal.

Mr Maynard submitted a claim under the policy in February 2004 for a heart attack.

- (a) Describe the main elements of the latest ABI critical illness definition of heart attack. (14 marks)
- (b) Study the General Practitioner's Report and Specialist's Report provided. Identify those issues from these reports that you think need further clarification and explain why they are important to the assessment of the claim. (26 marks)
- (c) What further information, and from what source(s), would be required to investigate the issues identified in (b)? (10 marks)

Part III questions can be found on pages 10 to 11

PART III

Answer any THREE of the following FIVE questions.

Each question is worth 34 marks.

10. (a) Describe the purpose and typical content of a duration certificate. (17 marks)
- (b) What problems can be experienced when requesting duration certificates? What legislative and other considerations govern the request and supply of information contained in duration certificates? (17 marks)
11. (a) Describe how eligibility to claim is typically determined under a Long Term Care (LTC) policy. (15 marks)
- (b) Describe the tools available to the claims assessor when determining if the LTC benefit definitions have been satisfied. Detail the core information each seeks to obtain. (19 marks)
12. (a) Describe the nature of agency and the three types of authority that an agent may act upon. (10 marks)
- (b) (i) Describe the agency situations that may arise at the claims stage.
- (ii) How might the existence of an agency relationship complicate an insurer's treatment of a claim when non-disclosure is suspected? (24 marks)
13. (a) Describe the structure and purpose of the spine. (6 marks)
- (b) Describe the most common causes of chronic back pain. Outline the functional limitations associated with each. (10 marks)
- (c) When considering an income protection claim resulting from back pain, what other factors need to be taken into account in determining whether the definition of disability has been satisfied? (18 marks)

14. (a) Explain the general factors you would take into account, when seeking to establish pre-incapacity income and the amount payable in the event of a claim. (9 marks)
- (b) What specific factors would be taken into account and what supporting documentation would be required, in the case of:
- (i) an employed sales representative for a large office equipment supplier;
 - (ii) a self-employed plumber? (25 marks)